INVESTMENT COMMITTEE MEMO

Coupang, Inc.

NYSE: CPNG. Korea's Rocket Delivery leader, priced as if a data breach permanently broke its margins. Customers have come back; margins, the KRW and the regulators are next.

RECOMMENDATION: BUY

12-MO TARGET: US$21 (+33%)

Reference price US$15.82 (9-Oct-26)	52-wk range US$13.35-32.35	Mkt cap / EV ~US$28.5bn / ~US$28.0bn	Net cash (incl. leases) US$0.48bn (Jun-26)
Dividend None; US$907m buyback left	Control Bom Kim 74.1% of votes	Next catalyst Q3'26 results, 3-Nov-26	Ticker note "CPHG US" resolved to CPNG

0.79x

LTM EV/Sales, a five-year low; peer median 1.29x

24.7m

Active customers in Q2'26, back above pre-incident; WOW at an all-time high

US$21

12-mo target; probability-weighted value ~US$20.8

RECOMMENDATION

Buy: the customers came back; the margin, the won and the regulator are what is priced

0.79x
LTM EV/Sales vs 1.10-1.29x at 2022-25 year-ends and a 1.29x peer median

5.1%
Q2'26 Product Commerce adj. EBITDA margin vs 8.8% in Q3'25; mgmt targets pre-incident by mid-2027

+10%
Q2'26 revenue growth in constant currency (+4% in USD); KRW at a 15-yr low

US$21
12-mo target (+33%); upside to bull +100%, downside to bear -40%

25%
Bear-case probability we assign (regulatory package / share loss)

Why now: four forces converging

- **The glitch is fading:** WOW members are above pre-incident levels and active customers are back to 24.7m. Underlying spend from returners is +16% (Q2'26 call)
- **One-offs roll off:** US$1.2bn of vouchers ended in April; US$410m of fines are booked; marketing steps down in 2027
- **Self-help bid:** 43.7m shares (US$850m) bought back in H1'26 at ~US$19.5 [d]; US$907m authorisation left
- **Sentiment trough:** -61% from the Sep-25 high; ProntoNLP call sentiment fell from 0.81 to 0.34 and is recovering (0.53)

What has to go right

- PC margin recovers toward ~8% through 2027; management targets pre-incident by mid-2027 (each 100bp is ~US$0.35bn of EBITDA [d])
- Developing Offerings losses fall from US$950m-1bn in 2026 (Taiwan scaling; Farfetch positive)
- No forced Eats-WOW unbundling and no night-delivery ban
- The Dec-2026 settlement-period rules do not drain much of the ~US$6.3bn payables float

Position sizing: event-driven, medium conviction. Optional hedges: (i) pair against NAVER (035420 KS) to isolate share recapture from Korean e-commerce beta; (ii) USD/KRW exposure if a won recovery is wanted as upside rather than risk. First review: Q3'26 results (3-Nov-2026), then the 2027 guide promised "towards the end of the year".

Coupang at a glance: Korea's owned-logistics e-commerce leader with a loss-making second engine

What it does

- 1P retail plus a 3P marketplace with fulfilment (FLC), ads and a WOW membership. Free next-day "Rocket Delivery" since ~2014
- More than 78m sq ft of fulfilment and logistics space; S&P lists 108,000 employees
- FY25: revenue US$34.5bn, adj. EBITDA ~US$1.5bn (4.3%), net income US$208m. Over 90% of revenue is in KRW
- Developing Offerings (Taiwan, Eats, Play, Pay, Rocket Now Japan, Farfetch): US$4.9bn of revenue, -US$995m adj. EBITDA
- Founder Bom Kim holds all Class B (29 votes per share): 74.1% of votes

Segments (US$bn; company disclosures)

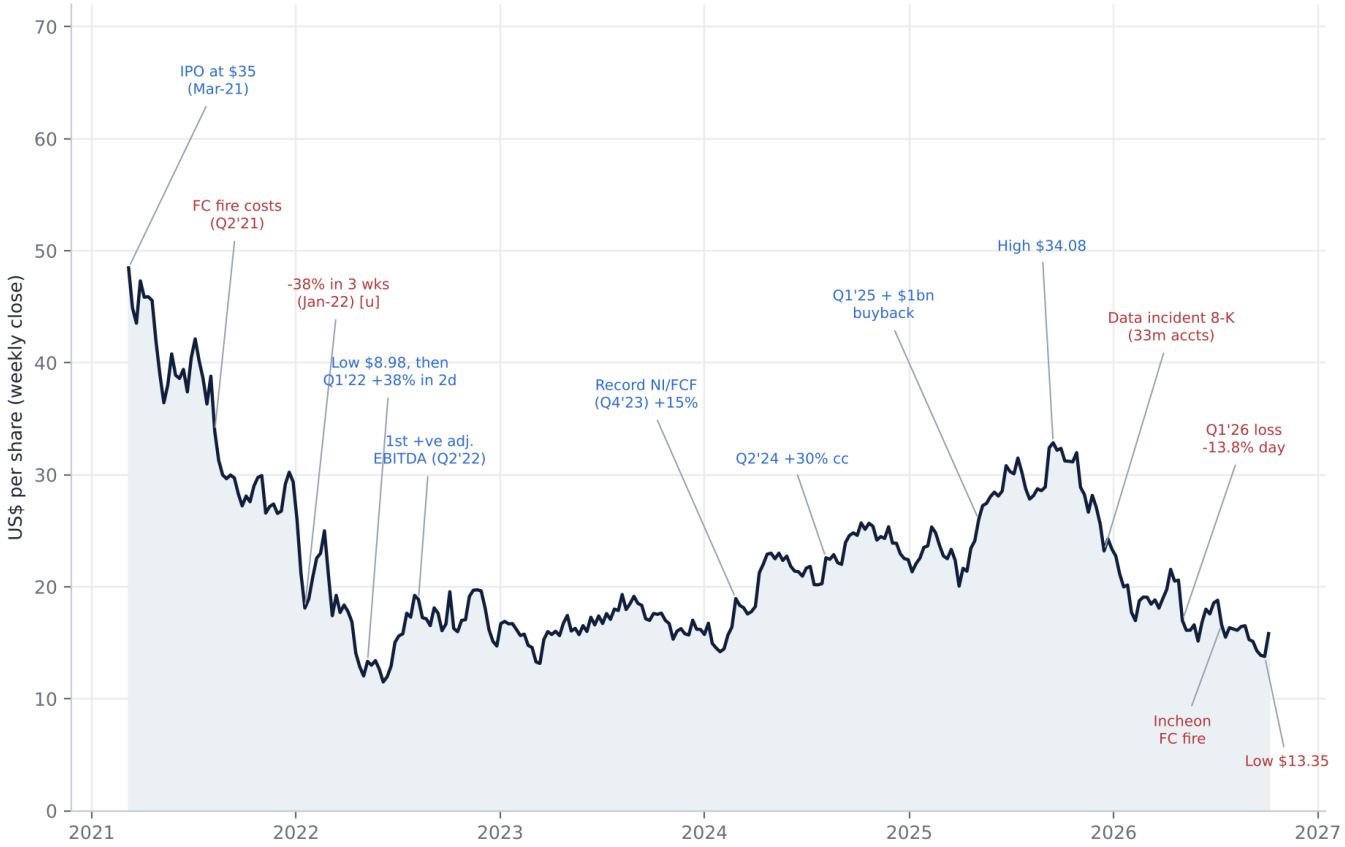
Segment	FY24	FY25	Q2'26	Trend
PC revenue	26.7	29.6	7.4	+8% cc / +1% USD
PC adj. EBITDA	2.0 (7.5%)	2.5 (8.4%)	0.38 (5.1%)	-390bp YoY
DO revenue	3.6	4.9	1.4	+24% cc
DO adj. EBITDA	-0.63	-0.995	-0.22	Loss -US$110m QoQ
Group revenue	**30.3**	**34.5**	**8.9**	**FY26 DO loss guide 0.95-1.0**

Sources: FY24/FY25 earnings releases and the Q2'26 call via ProntoNLP; S&P Capital IQ.

The single most distinctive fact: the Korean core earned ~US$2.5bn of adj. EBITDA in FY25. About 40% of it was reinvested in Developing Offerings. At ~US$28bn of EV, the market is paying ~11x for the core's pre-incident EBITDA and giving nothing for Taiwan, Eats or Farfetch.

IPO (2021), profitability (2022-23), breach (Nov-25), Q1'26 loss: -61% from the high

Coupang share price since IPO (weekly close, US$) with key catalysts



Key catalysts

MAR 2021	IPO at US$35; first day +41% ‡
MAY 2022	Low US$8.98 ‡; Q1'22 margin inflection +38% in 2 days
FEB 2024	Record NI/FCF; Farfetch closes (+15.5%)
MAY 2025	First US$1bn buyback (+10.8%)
SEP 2025	High of US$34.08 ‡
NOV-DEC 2025	Breach of 33m accounts; Korea CEO resigns; US$1.2bn vouchers
MAY 2026	Q1'26 op. loss -US$242m (-13.8% day)
JUN-JUL 2026	PIPC fines US$410m; Incheon FC fire (~US$246m exposure)
OCT 2026	Low US$13.35, then +15% in a week ‡

Read-across: results drove most of the >10% moves, above all the 2022 profitability inflection and its reversal in Q1'26. Several of the steepest falls (Jan-22, Apr-May 22, Sep-Oct 26) had no company-specific trigger in the filings [u]. The stock trades as a high-beta growth proxy. ‡ = price-derived; source link unavailable.

Cheap on sales, expensive on trough earnings: the stock is a margin-recovery bet

Metric (LTM Jun-26)	Coupang	Amazon	MELI	Sea	PDD	Alibaba	NAVER	E-MART	Lotte Shop.	Walmart	Peer median*
EV/Sales	**0.79x**	3.85x	2.94x	2.07x	0.89x	1.69x	1.88x	0.41x	1.05x	1.29x	1.29x
EV/EBITDA	**n.m. (32x adj.)**	17.7x	26.5x	21.4x	4.0x	17.7x	8.0x	6.9x	8.4x	21.6x	9.4x
EV/EBIT	**n.m.**	31.9x	35.5x	25.1x	4.1x	37.0x	10.9x	50.4x	22.5x	32.8x	24.2x
P/E	**n.m.**	21.2x	51.4x	38.1x	9.2x	25.6x	13.7x	88.4x	15.3x	40.2x	25.6x
EBITDA margin	**-0.1%**	21.8%	11.1%	9.7%	22.0%	9.5%	23.3%	5.9%	12.4%	6.0%	9.7%
EBIT margin	**-1.7%**	12.1%	8.3%	8.2%	21.9%	4.6%	17.3%	0.8%	4.7%	3.9%	5.6%
Sales growth	**9.9%**	15.8%	46.0%	43.1%	10.0%	4.4%	14.7%	-0.9%	1.1%	6.2%	10.9%
Net debt/EBITDA	**net cash**	0.8x	1.9x	net cash	net cash	net cash	net cash	5.8x	6.9x	1.4x	net cash
FCF yield	**0.3%**	-0.4%	13.0%	6.7%	13.0%	-4.1%	5.3%	n.m.	n.m.	1.5%	8.6%

*Median of 15 listed peers (adds JD, Vipshop, Rakuten, Zalando, Allegro, Jumia). S&P Capital IQ LTM financials and net debt incl. leases; ProntoNLP prices (9-Oct-2026). CNY ADRs at CNY7.10/US$ [e].

What the comparison shows

- EV/Sales of 0.79x is 39% below the peer median and a five-year low for Coupang (1.10-1.29x at 2022-25 year-ends)
- Coupang has traded at a 39-60% EV/Sales discount to a core peer set every year since IPO. The discount is not new; the absolute de-rating is

The honest counter-read

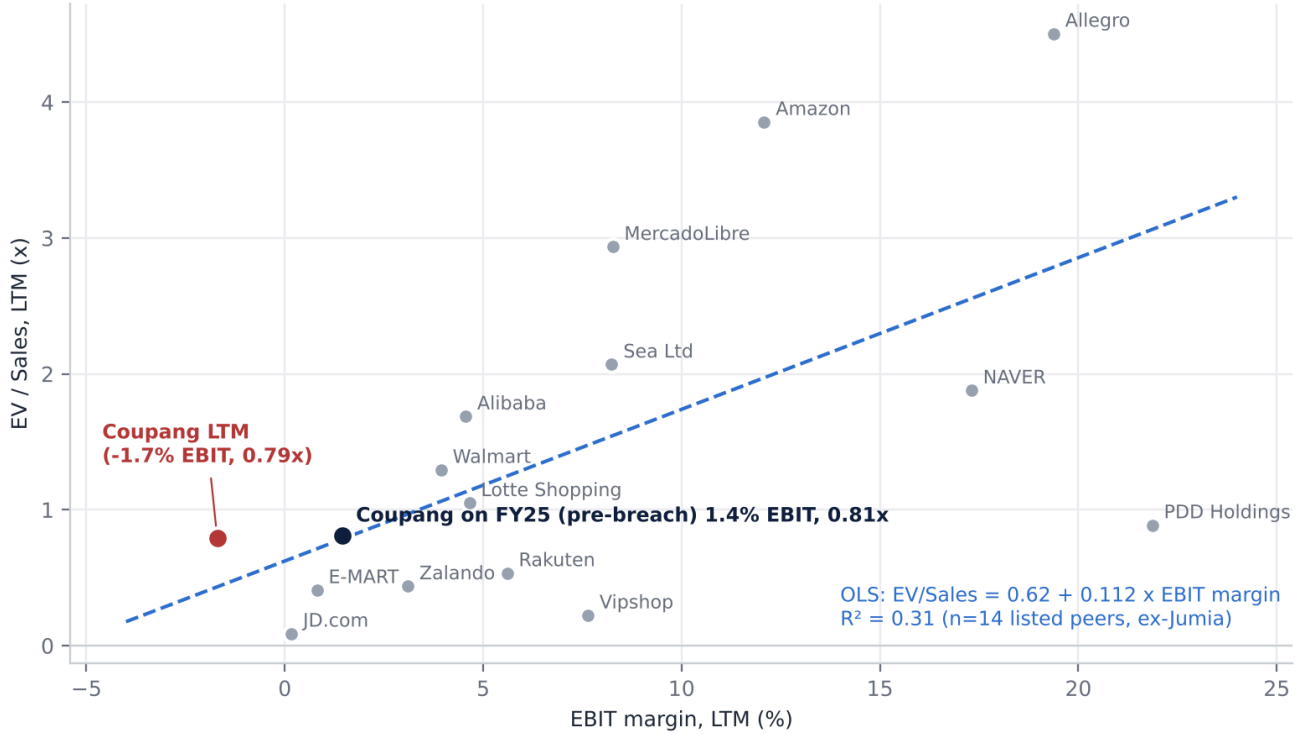
- LTM EBITDA is ~zero, FCF yield 0.3%, and GAAP EPS is negative. On earnings the stock is not cheap
- Unless PC margins recover, 0.79x sales is fair for a 1-2% margin retailer (E-MART 0.41x, Lotte 1.05x)

Coupang vs its own history: EV/Sales at each year-end [d]

	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Oct-26 (LTM)
Coupang EV/Sales	2.72x	1.23x	1.10x	1.29x	1.19x	**0.79x**
Core-peer median (AMZN, MELI, SE, NAVER, E-MART, Lotte)	6.00x	2.00x	2.34x	3.03x	2.95x	1.97x
Coupang discount	**-55%**	**-39%**	**-53%**	**-57%**	**-60%**	**-60%**

Regression: on the line at pre-incident margins; the re-rating needs the margin back

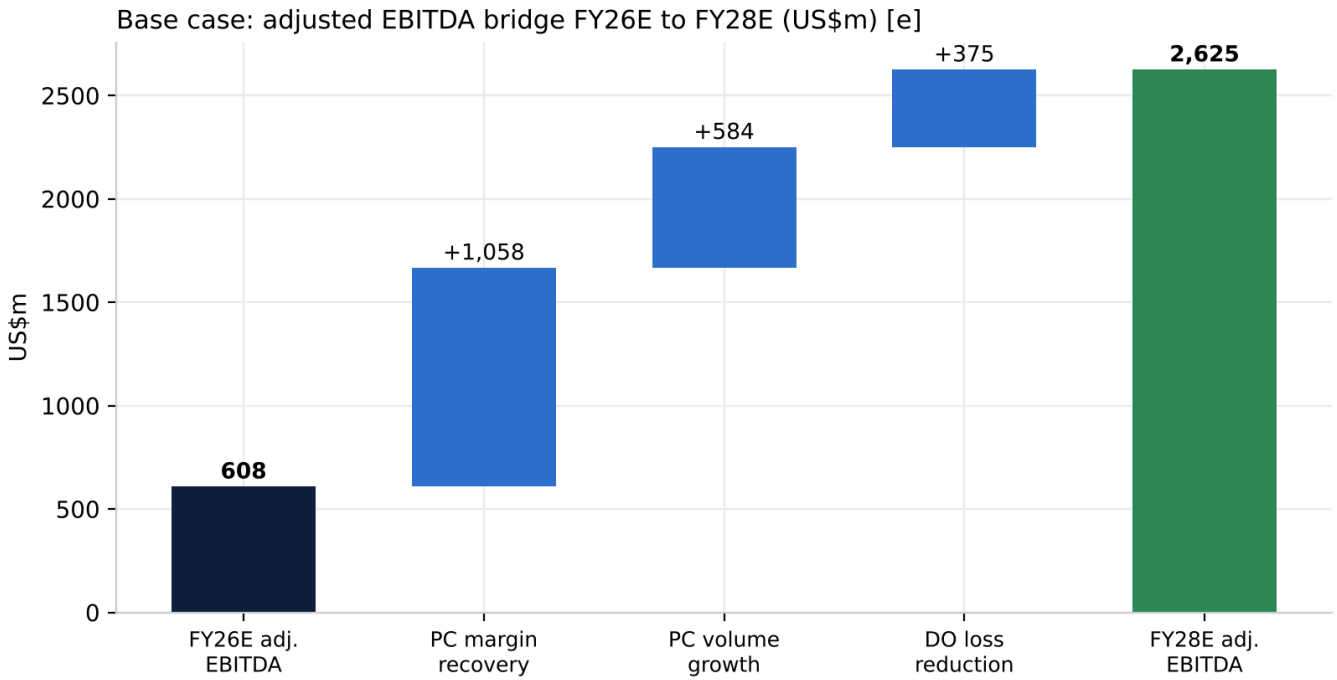
EV/Sales vs EBIT margin (14 listed peers, LTM)



How to read it

- **OLS:** EV/Sales = 0.62 + 0.112 × EBIT margin (%), R^2 = 0.31 (n = 14, ex-Jumia)
- **LTM (-1.7% EBIT):** the line implies 0.43x; Coupang trades at 0.79x, so the market already looks through the trough
- **FY25 (1.4% EBIT):** implies 0.78x. Coupang sits on the line, so it is fair, not cheap
- **FY28E (2.7% EBIT, base):** implies 0.92x. Our 0.85x target multiple sits below the line
- R^2 is moderate: PDD (China discount) and Allegro (premium) flatten the slope

Half the path to FY28E EBITDA is margin recovery on the revenue Coupang already has

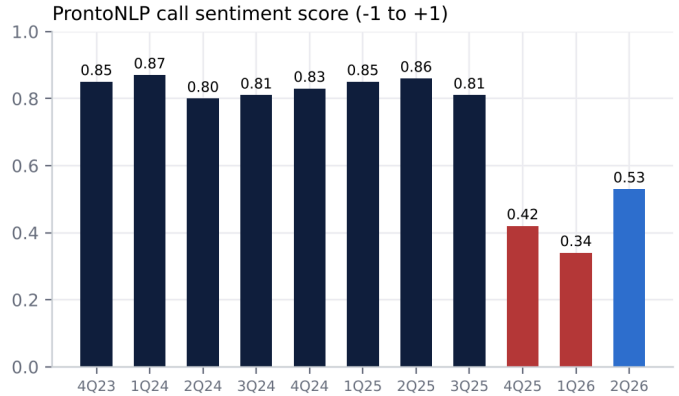


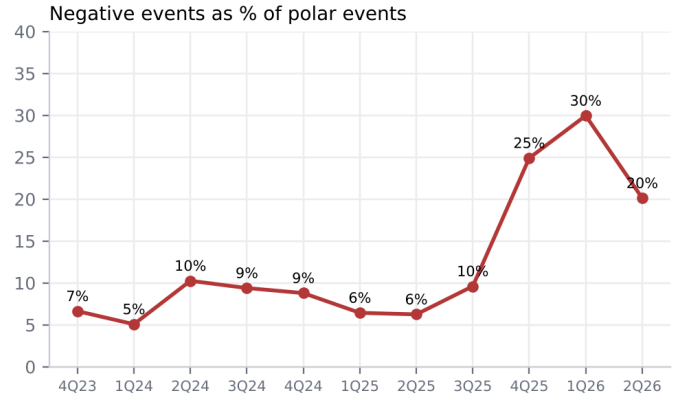
US$m	FY25A	FY26E	FY27E	FY28E
Revenue	34,534	36,686	41,139	45,817
Adj. EBITDA	~1,485	608	1,689	2,625
PC margin	8.4%	5.2%	7.3%	8.6%
GAAP EBIT	473	-1,117	529	1,225
Net income	208	-1,195	256	753
Diluted EPS (US$)	**0.11**	**-0.67**	**0.14**	**0.42**

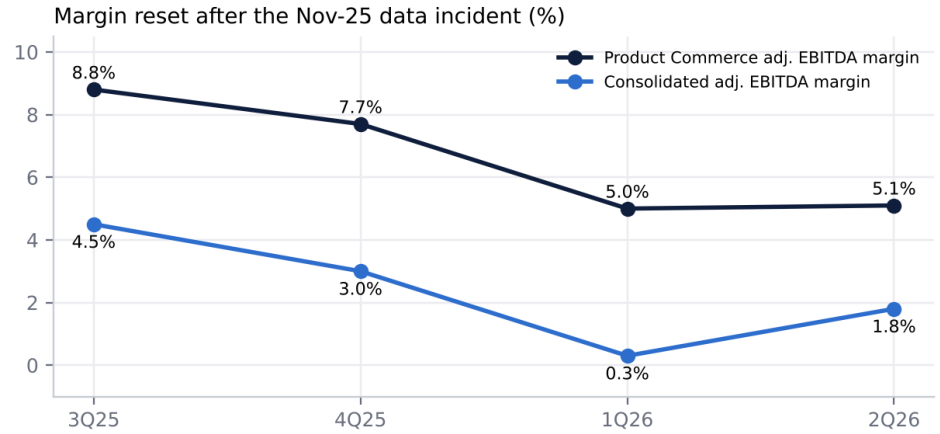
Our estimates [e]. No current FY27/28 consensus in S&P/ProntoNLP; ProntoNLP 3Q/4Q26 consensus is stale (Mar-25).

- Guide: Q3'26 +8-9% cc revenue, margin -300 to -400bp; PC margin pre-incident by mid-2027
- FY26E one-offs: US$410m fines, ~US$150m fire [e]; ETR n.m.
- Half of the FY26E-28E EBITDA bridge (US$1.06bn of US$2.0bn) is the PC margin returning to 8.6% on FY26E revenue [d]

Customers came back with full wallets; the trust gap is a cohort, not the base







Evidence for "glitch"

- Active customers: 24.6m (Q4'25) → 23.9m (Q1'26) → 24.7m (Q2'26)
- ~80% of the WOW decline was recovered by April; WOW now above pre-incident (#39)
- Returners "have not split that spend" (#268); underlying spend +16% vs +8% reported

Evidence for "lasting"

- A lower-spending non-returning cohort and "lingering trust issues" (#478)
- NAVER reported GMV and member gains in Jan-26 (#298)
- PC gross margin -210bp on promotions; recovery date slipped to mid-2027

Still net cash, but buybacks now outrun free cash flow and the payables float is under regulatory attack

US$3.5bn

Net cash ex-leases [d] (cash US$6.1bn; debt US$2.6bn). Incl. US$3.0bn leases: US$0.48bn

~US$0.1bn

LTM FCF, down from US$1.76bn in FY23 (CFO US$1.43bn less capex US$1.33bn) [d]

US$1.09bn

Buybacks over the same LTM [d]; US$750m revolver draw in Q1'26

-57 days

FY25 cash conversion cycle [d]; settlement rules shorten merchant terms from Dec-26

Capital-allocation record

- **Good:** self-funded the 78m sq ft network; Farfetch bought out of administration; refinanced SOFR+6.25% Farfetch loans
- **Poor:** ~US$1bn/yr DO losses with no published hurdle; Japan v1 exit; debt-funded buybacks
- **Related party:** Greenoaks (director Mehta) bought out at US$122-140m vs US$70m contributed
- **Contingent calls:** PIPC US$410m unpaid; NTS ~US$208m claim (unreserved); KFTC Eats case

Priorities we would push for

1. An explicit capital-return framework tied to FCF and leverage, not the share price
2. Disclosure of settlement-float exposure and of Taiwan's break-even path and investment cap
3. A permanent Korean CEO and a regulator-facing governance upgrade
4. Restate the long-term margin target (10%+ adj. EBITDA, Feb-2023)

Debt and liquidity (30-Jun-2026)

Instrument	Amount	Pricing	Maturity	Terms
Revolver (parent, US$1.5bn)	US$750m drawn	Term SOFR + 0.75-1.25%	Jun-2025 + 5 yrs (~2030 [d])	Unsecured; financial covenants
Korean credit facilities (KRW)	US$1.2bn of US$1.6bn	Weighted avg 2.89%	Mostly within 12 months	Unsecured; financial covenants
Unsecured term loan (Sep-2025)	US$439m	Fixed 3.80% (avg)	~Sep-2028	Refinanced secured FC loans
Operating leases	US$560m + US$2,470m	n.a.	1-10 years	Plus US$689m signed, not commenced
Total funded debt / cash	**US$1,985m ST + US$618m LT**	**Cash US$6,110m**	**Mostly offshore subsidiaries**	**Covenants in compliance**

No, and there cannot be: the founder holds 74% of the votes; pressure comes from regulators and courts

74.1%
Bom Kim's voting power (all Class B at 29 votes per share), down from 76.2% in FY21

0
Shareholder proposals at 2022-26 AGMs; no 13D or activist campaign found

Interim
Korea CEO since 10-Dec-25 (GC Harold Rogers); CFO reassigned to Korea

5 suits
US securities, consumer and derivative actions over the breach, plus the IPO appeal

Board of eight

Director	Joined	Committee	Background / affiliation
Bom Kim (Chair)	Founder	n/a	Founder-CEO; controlling holder (74.1% of votes)
Neil Mehta	by FY21	Lead independent [u]	Greenoaks MP; related party
Benjamin Sun	by FY21	‡	Not available in the connectors ‡
Kevin Warsh	by FY21	‡	Fed Chair nominee (Jan-26); leaves if confirmed
Pedro Franceschi	Mar-2022	Compensation	Co-founder of Brex [u]
Jason Child	Apr-2022	Audit	CFO of Arm Holdings [u]
Ambereen Toubassy	Mar-2023	Audit	Not available in the connectors ‡
Asha Sharma	Jun-2024	Compensation	Ex-Instacart, Microsoft [u]; independent

Change: Audit Chair Harry You retired Jun-2023. Proxy (pay, top holders, full independence roster) not indexed in the connectors ‡.

Where the pressure comes from

- Korean regulators: PIPC, KFTC (Eats-WOW bundling), NTS, Ministry of Labor, National Assembly
- A reported regulatory "designation" concerning Bom Kim personally (Q1'26 Q&A)
- US litigation: *Lee and Park*; *Warga v. Bom Kim*; EDNY consumer class action
- Short interest: not available in S&P/ProntoNLP ‡

Insider selling

- Post-breach 10b5-1 plans by the CFO, GC and CAO (Mar-May 2026)
- Kim's 15m-share plan (Aug-2024) for "significant financial requirements, including tax"

Only with the founder's blessing; delivery-platform deals clear at ~1.1-1.3x sales

Transaction	Date	Value	EV/Sales	Read-across
Uber → Delivery Hero (Baemin)	Jul-26	EUR41.50/sh; US$14.8bn equity	1.06x	Korean food delivery consolidates
Grab → Foodpanda Taiwan	Mar-26	US$600m	n.a.	Taiwan delivery consolidates
Uber → Foodpanda Taiwan (blocked)	May-24	US$950m	n.a.	Regulatory risk in Taiwan
DoorDash → Deliveroo	May-25	~GBP2.8bn	1.15x	Platform control value
Prosus → Just Eat Takeaway	Feb-25	EUR4.1bn	1.26x	28.7x EBITDA
JD.com → Ceconomy	Jul-25	EUR4.60/sh	0.17x	Low-margin retail: 9.6x EBITDA
Zalando → ABOUT YOU	Dec-24	~EUR1.14bn	0.59x	E-commerce consolidation
E-mart → eBay Korea (80%)	Jun-21	~US$3.0bn	n.a.	Korean marketplace control
Coupang → Farfetch	Jan-24	Bridge + ~US$300m	n.d.	Distressed luxury option

Deal terms: acquirer filings via ProntoNLP. Target financials: S&P Capital IQ. Multiples [d].

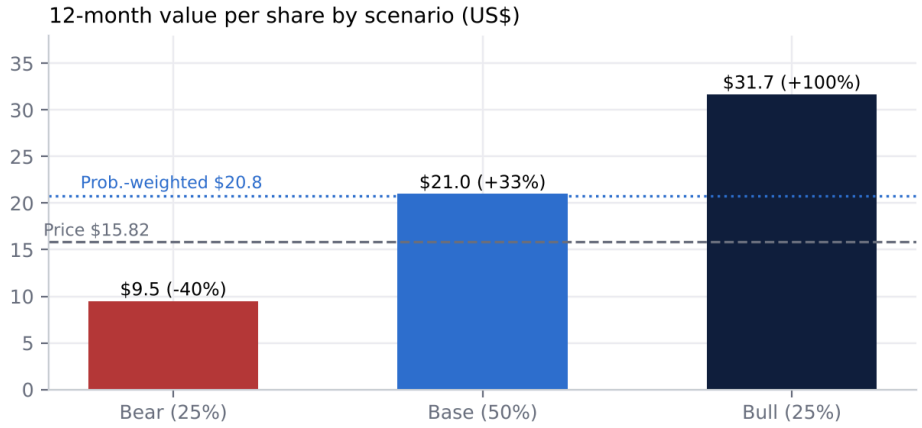
What a control price would look like

- 1.0-1.3x LTM sales (US$35.5bn) gives **~US$20-26 a share**; a 30-40% premium gives US$20.6-22.1
- **Impediment:** 74.1% founder voting control. No deal happens without Bom Kim
- **Size** (~US$37bn at a premium) and Korean data-sovereignty and regulatory sensitivity after the breach
- **Most plausible path:** founder-led take-private with financial partners, or carve-outs (Eats, Farfetch, Taiwan)
- Treat as a tail option, not the thesis

Asymmetric: -40% downside vs +100% upside; probability-weighted ~US$20.8

	Bear (25%)	Base (50%)	Bull (25%)
PC cc growth FY27/28	+5.5% / +5.5%	+11% / +10%	+14% / +13%
PC margin FY27/28	5.8% / 6.2%	7.3% / 8.6%	8.0% / 10.0%
DO adj. EBITDA FY28	-US$850m	-US$600m	-US$450m
FY28E revenue / adj. EBITDA	US$41.5bn / 1.27bn	US$45.8bn / 2.63bn	US$48.3bn / 3.51bn
FY28E GAAP EPS	-US$0.20	US$0.42	US$0.79
Multiple (NTM sales, Oct-27)	0.45x (Rakuten / E-MART band)	0.85x (below 0.92x regression)	1.20x (FY24-25 average)
Implied EV / FY28E adj. EBITDA	14.5x	14.5x	16.0x
Net debt (cash)	+US$1.2bn	+US$0.3bn	-US$0.5bn
Per share	**US$9.5 (-40%)**	**US$21.0 (+33%)**	**US$31.7 (+100%)**
Key triggers	KFTC unbundling; night-delivery ban; settlement drain; share loss	Mid-2027 margin normalisation; DO losses fall	KRW recovery; faster margins; Taiwan inflects; PIPC appeal win

Our estimates [e]. Net debt includes leases. Probability-weighted value US$20.8 (+31%).



Downside support: net cash, a US$907m buyback and 24.7m loyal customers; the bear case needs a regulatory package plus permanent share loss. **Upside driver:** PC margin normalisation (each 100bp is ~US$0.35bn of EBITDA) plus KRW mean-reversion (10% FX is ~US$3.5-4bn of revenue). Most of the downside is regulatory and can be monitored.

Q3 results, the KFTC bundling decision and the 2027 guide dominate the next two quarters

3-NOV-26 (SCHEDULED)	**Q3'26 results**	+8-9% cc revenue, -300 to -400bp margin; first Incheon fire losses; buyback pace	HIGH
Q4-2026 (TBC)	**KFTC Eats-WOW bundling decision**	Fine and/or forced unbundling; the hearing was tentatively Sep-26	CRITICAL
DEC-2026	**Settlement-period rules start**	EFTA (≥60% external custody) and Large-Scale Retail Business Act: payables and cash impact	HIGH
LATE 2026	**2027 guidance**	PC margin path to "pre-incident by mid-2027"; DO losses; capex	HIGH
PENDING	**PIPC decisions and appeal; NTS assessment**	US$410m payable despite appeal; ~US$208m transfer-pricing claim	MEDIUM
H2-2026 / 2027	**Uber-Delivery Hero; Grab-Foodpanda Taiwan**	Competitive structure in Korean and Taiwanese food delivery	MEDIUM
LATE FEB-27 [e]	**Q4'26 results**	WOW and active-customer disclosure; FY27 outlook	HIGH
MID-2027	**PC margin normalisation milestone**	Delivery vs promise: the thesis test	CRITICAL
ONGOING	**Night-delivery legislation; US class actions**	A ban would end Dawn Delivery; breach litigation in the EDNY	MEDIUM

What would make this thesis wrong

01 Regulatory package hits the model

Night-delivery ban (ends Dawn Delivery), Eats-WOW unbundling, settlement-period rules and more fines. Cumulative accrued fines are already ~US$531m [d] (US$121m + US$410m)

02 Share loss becomes permanent

NAVER's asset-light alliance (Plus + Kurly + CJ Logistics) and Chinese cross-border platforms (>10m users) keep the share they won during the incident

03 Margin recovery slips again

Already moved from "next year" to "mid-2027"; promotions persist; fixed costs stay sized for a demand curve that does not return

04 Cash engine breaks

FCF ~US$0.1bn LTM; debt-funded buybacks; payables float shrinks from Dec-26; NTS claim; ~US$1bn/yr of DO losses

05 KRW keeps weakening

USD-reported growth stays in single digits (-7pts FX in Q2'26); a 10% move cut FY25 revenue by US$3.0bn; ~US$3.5-4bn on FY28E revenue [d]

06 Governance and key-person risk

74.1% founder control, personal regulatory exposure, an interim Korea CEO, and post-breach insider selling plans

INVESTMENT COMMITTEE DECISION

Recommendation: BUY

US$21
12-mo target (+33%)

0.79x
LTM EV/Sales (5-yr low)

24.7m
Active customers (recovered)

74.1%
Founder voting control

- The breach was a glitch for customers: WOW at a record, actives back to 24.7m, returners not splitting wallet. It was not a glitch for margins, cash flow or the regulator
- At 0.79x sales the market prices today's 1-2% margins as permanent; a return toward FY25 margins by 2027-28 supports US$21 (base) to US$32 (bull)
- Catalysts are dated: Q3'26 (3-Nov), the KFTC decision, the 2027 guide, the mid-2027 margin milestone
- Key risk: the Korean regulatory package (night delivery, bundling, settlement terms). Hence event-driven sizing

Sizing and monitoring

Hold as event-driven, not core. Optional pair against NAVER to isolate share recapture; consider USD/KRW as a separate view.

Hard review triggers: PC margin below 6% in Q4'26/Q1'27; KFTC forced unbundling; payables days down >10 after Dec-26; buyback suspended; DO 2027 loss guide above US$800m.

Track: Q3'26 (3-Nov), 2027 guide, KFTC, PIPC appeal, NTS, Incheon insurance, KRW/USD, NAVER commerce KPIs.